

# **Kosovo's Diaspora Safety Net: Are Remittances Replacing Domestic Productive Capacity?**

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*30.06.2026*

## **Keywords:**

Kosovo; remittances; diaspora; economic development; exports; GDP; informal welfare; Western Balkans; migration; DataSphere

## **JEL codes:**

F24, O15, O11, F22, E21

## **Disclaimer:**

This working paper is based on an independent student research project. The author is responsible for all errors and interpretations.

## 1. Abstract

The current study analyzes the impact of remittances on the economy of Kosovo and tries to establish whether the transfers received from the diaspora are an informal welfare system which reduces vulnerability or also reflect the income earned abroad in addition to that earned within the domestic productive process. The research uses annual data collected from DataSphere Excel dataset, comparing remittances to GDP, exports, inflation rates, and measures of formal employment. It was found out that during the period analyzed, remittances increased from EUR 357.0 million in 2004 to EUR 1,355.0 million in 2024. Even though the export growth rate exceeded the remittance growth rate, the amount of exports in 2024 was smaller than that of remittances, having the ratio of exports to remittances equal to 0.70. The percentage of remittances in GDP fell from 17.2% in 2008 to 13.1% in 2024, reflecting that some reduction of macroeconomic dependence is taking place but not the disappearance of it.

## 2. Project Rationale and Objective

There is significant interlinkage between the Kosovar economy and the diaspora. Income for many families is earned not only in form of employment, companies, or state wages but from family members who live and work abroad. Such money inflow is usually called remittances. From the standpoint of accounting, remittances are money transfers from abroad; from the point of view of economics and sociology, remittances may act as a private safety net which allows families to pay for consumption, education, housing, health care, emergencies, etc., in case labor market conditions in the country are poor.

This project was stimulated by the inconsistency between two approaches to remittances. The first one is more optimistic and claims that diaspora remittances are the sources of positive impact: remittances supposedly sustain the level of living standards, decrease vulnerability, and allow sustaining household consumption in hard times. The second approach is negative and says that heavy dependency on remittances may reveal the lack of productive power in the country because people get money abroad rather than earn them through export, investments, and employment in the country. Both approaches can be true at the same time. Therefore, the goal of this research is not to prove whether remittances are good or bad but to uncover their structure in Kosovo's economy.

The main goal of the report is to find out if remittances in Kosovo serve mostly as a private welfare system and to compare the role of remittances to productive power of the country measured by some other indicators. This report uses yearly data and focuses on the connection between remittances, GDP, exports, inflation, and formal employment. Special attention should be paid to the comparison of remittances to exports since exports stand for money earned in international competitive markets while remittances mean money earned by diaspora and sent to native inhabitants.

The central research question is:

To what extent do remittances function as Kosovo's informal welfare system, and how does their economic role compare with domestic productive indicators such as GDP, exports and formal employment?

The project is based on four hypotheses. Firstly, remittances are one of the main sources of stabilization of Kosovo's economy. Secondly, notwithstanding the steady growth of exports, Kosovo gains more revenues through remittances rather than exports. Thirdly, despite the decrease in the share of remittances in the country's GDP, remittances are nonetheless important from an economic perspective. Finally, the structure of remittance flows has become more institutionalized, as it is money transfer operators and banks that play a much bigger role than informal channels.

This topic is original in that it considers the diaspora not only from the angle of migration, but also from the macroeconomic perspective. This project unites household welfare, incomes, international trade and financial flows. Thus, it provides an opportunity to evaluate whether Kosovo is developing a productive development strategy or still depends largely on the transnational family support system.

### 3. Data Collection and Sources

The analysis is conducted using secondary data which is quantitative in nature and was obtained from the DataSphere website in the form of Excel files. Dataset names and some of the column titles of the original data used for this analysis were in Albanian. The datasets were then translated into English language but the file names remained the same as the original ones.

| Original file name                             | English description                    | Use in the report                                                  |
|------------------------------------------------|----------------------------------------|--------------------------------------------------------------------|
| Dergesat-e-emigranteve.xlsx                    | Remittances from emigrants             | Main variable of interest; total remittances and transfer channels |
| GDP-vjetore.xlsx                               | Annual GDP                             | Used to calculate remittances as a share of GDP                    |
| Eksportet-Statistikat-e-sektorite-jashtem.xlsx | Exports and external-sector statistics | Used to compare remittances with productive external income        |
| Inflacioni-baze-dhe-i-pergjithshem.xlsx        | Core and general inflation             | Used to interpret purchasing-power pressure and economic stress    |
| Punesimi-2019-2025-ATK.xlsx                    | Formal employment data                 | Used as a short-period indicator of domestic labor-market capacity |
| Anketa-e-punesimit.xlsx                        | Employment survey information          | Used as contextual evidence                                        |
| Situata-Ekonomik.xlsx                          | Economic situation survey              | Used as contextual evidence on public perceptions                  |

The main analysis takes place from 2008 until 2024, because this timeframe is the intersection of years in which all three variables are provided in the clean annual database. Remittance information starts from 2004 up until 2024, but export data range from 2001 to 2024, whereas GDP is only available from a certain point of time in the integrated database. The employment data, which cover a relatively short timeframe of 2019-2025, serve as additional evidence rather than a source for making long-term estimations.

The data cleaning process involves the following five stages. First, each Excel file was analyzed in order to find useful sheets, column names, temporal variables and units of measurements. Secondly, all the words in Albanian language were translated into English; for instance, 'Dergesat e emigranteve' was translated as remittances from emigrants, while 'BPV' as gross domestic product. Thirdly, if needed, all the databases were reformatted to annual frequencies, and

inflation data, provided in the monthly frequency, were averaged annually. Fourthly, the databases were merged using year as a key variable. Finally, additional variables were created to support the research question.

| Derived indicator            | Formula                                 | Interpretation                                           |
|------------------------------|-----------------------------------------|----------------------------------------------------------|
| Remittances as % of GDP      | Remittances / GDP x 100                 | Measures the macroeconomic weight of diaspora inflows    |
| Exports-to-remittances ratio | Exports / Remittances                   | Compares productive external income with diaspora income |
| Remittance channel shares    | Channel value / total remittances x 100 | Shows how remittances are transferred                    |
| Annual growth rates          | Percentage change from previous year    | Measures year-to-year changes in the indicators          |

This approach in the analysis is predominantly exploratory and descriptive in nature. Such an approach is justified considering the size of the data, which is relatively small when dealing with annual time-series observations. It is not appropriate to draw causal conclusions based on this data. Hence, the report uses trends, ratios, growth rates, correlation, and trend analysis to uncover the patterns in the economy.

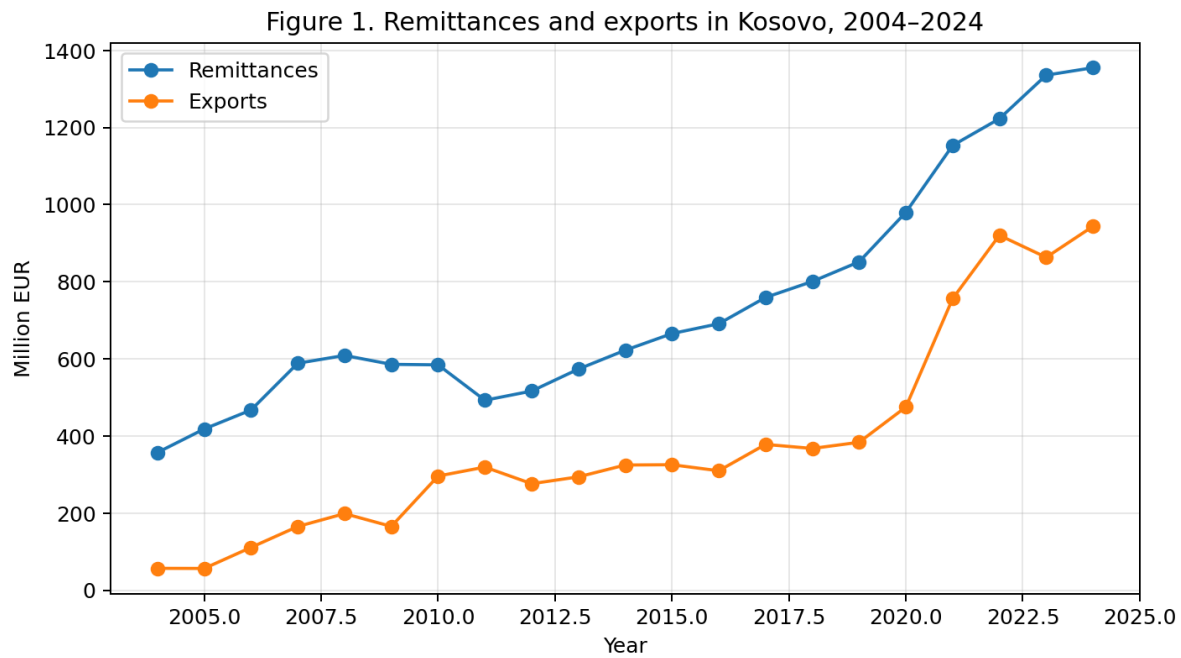
The last limitation pertains to informal transfers. Informal money transfers are not captured by the remittance figures. Furthermore, annual data cannot provide information about the distribution of the transferred money among households. Thus, the remittances used in the report serve as macroeconomic indicators and not as household behavior data.

## 4. Qualitative and Quantitative Analysis

### 4.1 Descriptive Evidence: Remittances, Exports and GDP

The first empirical result is the continued increase in the amount of remittances. Remittances increased from EUR 357.0 million in 2004 to EUR 1,355.0 million in 2024, representing an approximate CAGR of 6.9% during the two-decade period. This shows that remittances are neither an occasional nor marginal element of Kosovo's economy. Rather, they are a consistent and expanding source of foreign incomes.

The exports of the country have also expanded substantially and increased from EUR 56.6 million in 2004 to EUR 943.6 million in 2024, which represents an approximate CAGR of 15.1%. Thus, exports increased more rapidly than remittances. This development is positive, since it shows an increase in Kosovo's production potential. Nonetheless, absolute comparison is relevant, because exports were still lower than remittances in 2024. The ratio of exports to remittances increased from 0.33 in 2008 to 0.70 in 2024, meaning that exports were getting closer to remittances without exceeding them.



*Figure 1. Remittances and exports, Kosovo, 2004–2024. Values are expressed in million EUR.*

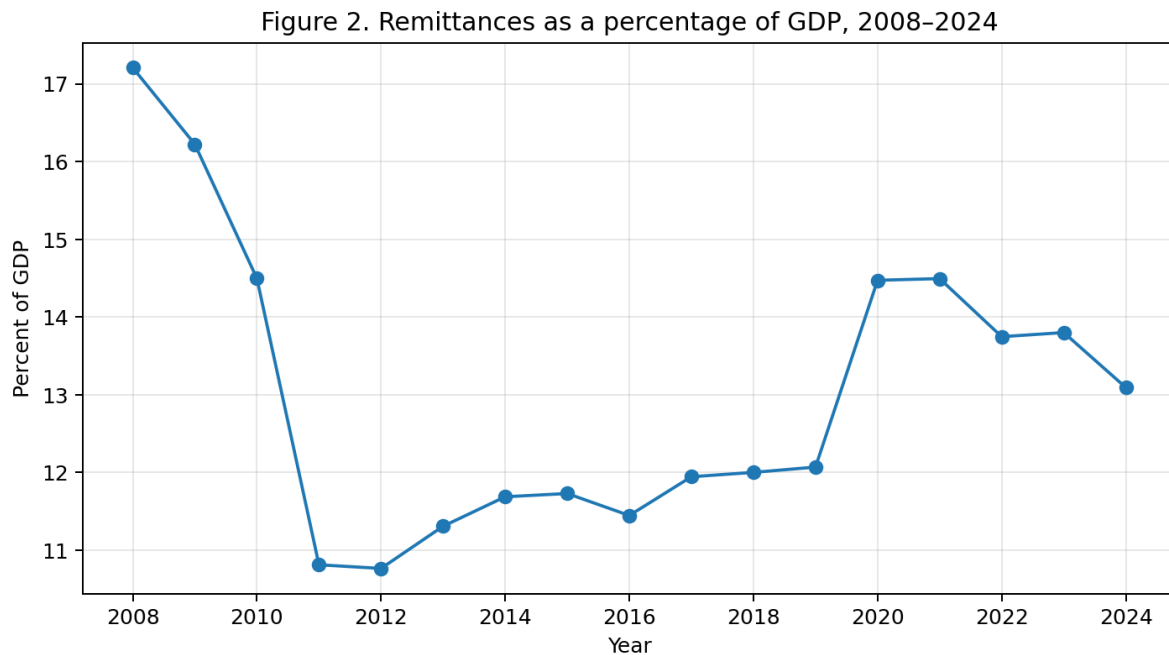
The project key structure demonstrated in figure 1, clearly depicts continued values of remittances (above export sales) during the overlapping period (2020). However, after 2020, it is evident that values of exports increased significantly (due to high numbers of international trade transactions completed during the years of 2021 to 2022); yet still remained lower than total annual values of remittances from the diaspora into Kosovo. Thus, the results support our second hypothesis that external income structure has grown in productivity over time; however, the continuing remittance transfers from the diaspora continue to exceed earnings from exporting goods/services out of Kosovo into global markets.

The relationship (remittance vs. export) is also valuable in providing analytical perspective since they measure different mechanisms for development. Exports measure domestic firm and/or sector ability to sell goods/services outside of the country (Kosovo); whereas, remittances help measure the ability of a country-of-origin national to acquire income in another country and redistribute part of that income back to their families/households in Kosovo. Therefore, if households are able to access more income (from remittances) than through exporting their goods/services abroad, that indicates that household economic security is dependent on receiving migrant remittance income versus utilizing income generated from competitive international trade. The existence of remittances does not hinder development; however, remittances have evolved as a method for generating income that the domestic economy has not been able to create itself then internally.

## 4.2 Remittances as a Share of GDP

The second key indicator of the country's economy is remittances as a share of GDP. In 2008, remittances made up 17.2% of GDP; by 2024, that share had declined to 13.1%. This decline implies that the country's economy has expanded in size relative to all domestic output and that remittances now have a smaller footprint within the overall economy. Nonetheless, a ratio above 13% is still considered substantial under economic terms. Therefore, while remittance flows continue to constitute an important part of the overall economy, they will also continue to provide

a significant element of domestic aggregate demand, support for household consumption, and contribute to macroeconomic stability.



*Figure 2. Remittances as a percentage of GDP, Kosovo, 2008-2024.*

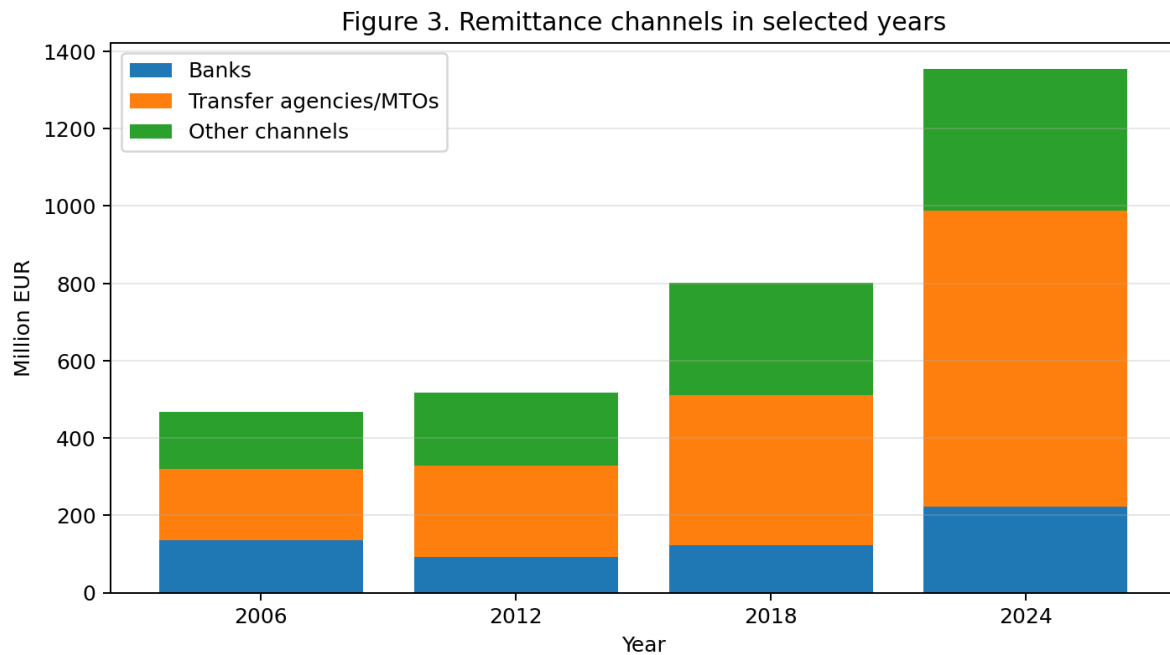
According to Figure 2, there is no linear relationship between the level of remittance dependency and time. The percentage of remittance dependence was at its highest in 2008, decreased significantly between 2011 and 2012, maintained a relatively stable percentage just above 11%-12% for most of the years in the 2010s, then increased again during both 2020 and 2021. This demonstrates that remittances have the potential to play an increasingly larger role during times of economic uncertainty. Specifically, the growth in 2020 supports the theory that international money transfers provide a stabilizing force for households, although there is not definitive evidence to show what type of household mechanism they represent.

The decrease in remittance dependence from 2008-2024 partially supports Hypothesis 3 in this study. On one hand, the macroeconomic importance of remittances is now significantly less than at the time of the first study. However, on the other hand, the overall volume of remittances transferred into Kosovo remain extremely high and the percentage of remittance dependency is not in a continuous downward trend; rather, it will fluctuate based on prevailing economic conditions. Therefore, the best possible conclusion can be drawn that Kosovo has reduced some aspect of relative remittance dependence, however remittance dependence is still an important part of the overall economy.

### 4.3 Remittance Channels and Formalization

The remittances dataset also provides information about transfer methods. As such, the report will no longer only assess remittances by their value but also how they flow into the economy. The available transfer method categories include banks, money transfer operators, and others. The structure of these transfer methods is important because they can provide an indication of the degree to which the flow of remittances is formalized and financial-system connected.

The share of remittances sent using money transfer operators increased from 35.0% in 2008 to 56.5% in 2024, with an especially high value of 68.6% in 2020. This indicates that formal or semi-formal transfer services have grown significantly over that time. This change is also not only a technical issue; it has implications for policy-making and financial access. When remittances flow through identifiable financial channels, they are more easily measured, may be more secure for households, and may ultimately lead to recipients' increased access to wider access to financial services.



*Figure 3. Remittance channels: banks, money transfer operators and other channels, Kosovo, 2008-2024.*

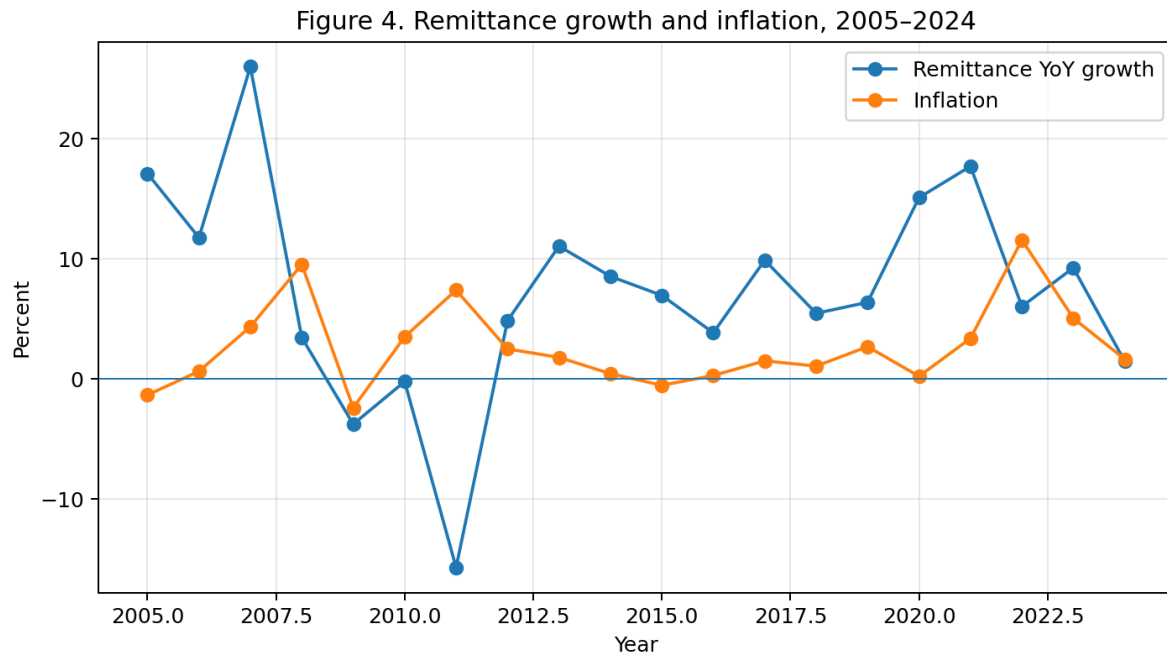
According to Figure 3, there has been a change over time in the channels through which money is sent back home. While banks continue to send money back to the country, money transfer services (MTOs) are becoming more pertinent. Other channels remain evident, not the least of which serve as a reminder that not all remittances are fully integrated into the banking system. The evidence supports Hypothesis 4: that the formality of remittance transfer has improved, especially through MTOs.

The results provide a qualitative dimension to the project. Assuming that remittances constitute a private welfare system, the channels through which remittances are made are the infrastructure of that system. The formalization of how remittances are transferred will allow for greater reliability, measurement and transparency how the transfer is made. This does not preclude that the transfer, although being done through formal channels, is still reliant on transfer channels (MTOs) rather than domestically-provided wages (productive labour). Therefore, while the formalization of remittance transfers will facilitate the management of transfers, the reliance on earnings from diaspora will continue to exist despite the formalization.

#### 4.4 Inflation, Employment and Economic Vulnerability

To better understand the economic context for receiving and utilizing remittances, inflation is accounted for. The 2022 annual inflation index reached an average of 11.6% but then decreased to 1.6% in 2024. This high inflation rate diminishes the purchasing power of households and, as a result, at a time when prices are increasing, remittances are increasingly critical to those

households that receive them. However, inflation creates a challenge to interpret the nominal remittance growth because part of the increase in value could simply represent a corresponding increase in prices rather than any significant improvement in the quality of life.



*Figure 4. Annual growth in remittances compared with inflation, Kosovo, 2005-2024.*

Year-on-Year - Remittance and export growth against inflation (Fig 4): Remittances (income from abroad) show more consistent year-over-year growth than do exports (goods produced in country), especially since the COVID-19 Pandemic. After the Pandemic, export coloration was marked by more volatility than for remittances; however, increases in remittance revenues have tended to smooth out as they are more stable over time than exports.

2022 represents an important cautionary note regarding the impact of inflation on the effect of remittances and how the benefit related to them is tied not only to how much money an individual receives (i.e., their gross remittance amount) but also to what that amount can actually purchase (i.e., the recipient's real income).

Evidence has indicated that the amount of formal employment has increased (from approximately 311,477 jobs in 2019 to approximately 397,401 in 2024; a 27.6% increase in the number of formal jobs). The percentage of women employed in formal jobs has also increased (34.1% to 38.4%) over the same time period. Although these indicators provide evidence of an expanding capacity for Kosovo's domestic labor market, their relatively short timeframe limits one's ability to draw strong conclusions about economy's sustainable capacity for growth over the longer term.

In summary, the employment evidence discussed above supports the view that Kosovo's domestic economy will eventually experience positive growth, with remittances and exports remaining structurally significant for the diaspora.

#### 4.5 Correlation and Exploratory Trend Analysis

The correlation statistics provide an overall summary in terms of how the key variables might relate to each other. Care must be taken when interpreting correlations at the level of the data, as typically many macroeconomic variables tend to rise together over time. Therefore, while there



can be a very high correlation between remittances and GDP, this does not prove that remittance receipts cause an increase in GDP growth, but rather that they both may follow a common upward trend. Nonetheless, correlation can still provide descriptive information about relationships between two variables.

| Relationship, 2008-2024             | Correlation | Interpretation                                                           |
|-------------------------------------|-------------|--------------------------------------------------------------------------|
| Remittances and exports             | 0.95        | Strong positive association in levels; both increased over time          |
| Remittances and GDP                 | 0.95        | Strong positive association in levels; common growth trend               |
| Remittances and MTO channel share   | 0.77        | Higher remittances are associated with greater use of transfer operators |
| Remittance growth and export growth | 0.21        | Weak positive association; growth dynamics differ                        |
| Remittance growth and inflation     | -0.19       | Weak negative association in this sample; not causal                     |

The correlation between GDP, remittances, and exports is a positive one; thus, as the level of each variable increases, so does the level of the other two. In contrast, the correlation between the three aggregate growth rates is less than perfect, which means that the growth rates of remittances and exports do not necessarily change in a predictable pattern over time. This supports the case that remittances and exports represent different economic logics, as remittances depend on immigrants' wages and other obligations they may fulfill to their families, while exports depend on domestic supply and demand from foreign customers.

Two additional insights that can be gained from a basic trend analysis. First, the ratio of exports to remittances has grown approximately 1.6% each year in the 2008-2024 period. This indicates that remittances will eventually represent a greater share of the aggregate dollar value of exports than they currently do because domestic exported productive capacity is catching up with that of remittances over time. Second, the share of money transfer operators has increased by about 1.5% per year, indicating that remittance transactions are becoming increasingly formalized. Finally, while there is a negative trend on the share of remittances to GDP, this trend is weakly negative; thus, it can be concluded that dependence on remittances has diminished during some years but not in a systematic, linear fashion.

Since the report does not build a predictive classification or forecasting model, performance metrics such as accuracy, RMSE, or  $R^2$  are not used as evaluation criteria. The analysis instead relies on descriptive indicators, ratios, correlations, and visual trend comparison.

## 5. Conclusions and Final Considerations

The purpose of this report was to determine whether or not remittances (money sent by immigrants abroad to family members in sedentary populations) function as an informal welfare system with respect to Kosovo, while also replacing what would normally be provided via the domestic productive capacity. There are mixed results regarding this question.

Data trends provide evidence to support that remittances have clearly been one of the major and structural sources of income for Kosovo over the past years. The remittance influx has seen strong growth over the previous two decades; in fact, remittances have been greater than export revenues as of this present 2024 date. Therefore, there continues to be substantial reliance on diaspora earnings as major sources of household and macroeconomic stability.

However, there are also indications of growth in productivity for the Kosovo economy as reflected in the domestic economy not being completely stagnant (i.e., there has been growth in exports at a faster rate than there has been in remittances over the period of 2004 to 2024, and the export-to-remittance ratio has improved). The economy has also expanded significantly in terms of increases in demand for products and services in the shorter time period for which data on employment are available. Therefore, these data suggest that the overall productive capacity of the economy of Kosovo has experienced improvement through these two measurements. The major concluding point is that as a result of growth in production capabilities, remittances are still of significant importance to the Kosovo economy, but that these two sets of data illustrate that Kosovo's economy is evolving to a more productive economy.

The most significant result from this study was the ongoing gap between remittances received and exports made by diaspora members of Kosovo. In 2024, exports equaled almost 70% of the total remittance flows to Kosovo. This is a significant increase from the 33% of total remittance flows in 2008; however, it still indicates that the diaspora contributed more in terms of transfers than in export revenue. The finding is significant from an economic perspective because it demonstrates that Kosovo's external earning power continues to be primarily driven by external populations instead of non-residential products and services.

The second major result is a decline in the proportion of GDP represented by remittances from 2008-2024; nevertheless, they remain significant. This shows that relative dependence has partially reduced. However, the ratio of remittance proportions to total GDP rose again between 2020 and 2021. This trend supports the interpretation that remittance transfers will likely become increasingly important to household survival during periods of economic duress, despite their long-term declining share of GDP.

The third area of research relates to formalization. The rising concentration of remittance channels through money transfer operators indicates that diaspora remittances are being more systematically received through formal transfer services. This has improved the accuracy of measurement for remittances, which may help improve the safety of households receiving remittance transfers. Importantly, however, the fact that remittance flows are more formally routed does not necessarily mean the domestic economy will experience productive transformation. While increasing capacity within the diaspora funding network will strengthen the ability of families in Kosovo to rely upon remittance support during periods of economic duress, it does not eliminate the overall dependency of households on external income.

There are limitations to the study. This study uses annual aggregate data, which limits the number of observations and results in limited ability to make strong causal statements about the impact of remittances. Most of the monetary variables in the analysis are nominal, which means that inflation will affect how you interpret them. Therefore, household remittance use cannot be directly observed from the data because it is too aggregate. The assumption that informal remittance channels are under-represented when using only formal channels in the analysis means

that additional research should be used to improve the analysis by either using data from household surveys, adjusting for inflation to obtain real terms, separating remittances by country and researching whether remittances are used to finance consumption, education, housing or business investment.

As a result, the conclusion is that the Kosovo diaspora has developed as an informal welfare system. Remittances provide economic stability, reduce vulnerability and exhibit that domestic production capabilities are not fully replacing economic contributions from families living abroad. Therefore, the policy challenge will be to facilitate the transition of remittances from an informal safety net to a formal investment vehicle that creates jobs, encourages productive investment and improves export competitiveness.

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## Appendix A. Data Dictionary

| Clean variable name          | Meaning                                      | Unit / note        |
|------------------------------|----------------------------------------------|--------------------|
| year                         | Calendar year                                | Annual observation |
| remittances_million_eur      | Total remittances from emigrants             | Million EUR        |
| remit_bank_million           | Remittances through banks                    | Million EUR        |
| remit_mto_million            | Remittances through money transfer operators | Million EUR        |
| remit_other_million          | Remittances through other channels           | Million EUR        |
| mto_share_pct                | Money transfer operator share of remittances | Percent            |
| exports_million_eur          | Exports from external-sector statistics      | Million EUR        |
| gdp_current_million_eur      | Gross domestic product at current prices     | Million EUR        |
| remittances_pct_gdp          | Remittances as a share of GDP                | Percent            |
| exports_to_remittances_ratio | Exports divided by remittances               | Ratio              |
| inflation_avg_pct            | Average annual inflation                     | Percent            |
| formal_employees_avg         | Average formal employees                     | Persons            |
| formal_female_share          | Female share of formal employment            | Proportion         |
| remit_yoy_growth_pct         | Annual remittance growth                     | Percent            |
| exports_yoy_growth_pct       | Annual export growth                         | Percent            |